CHAPTER

8

Indian Financial System- Capital Market

- Composition and Functions of Capital Market
- Securities and Exchange Board of India (SEBI)
- Trading Process
- Stock Exchanges
- Development Financial Institutions
- Financial Intermediaries
- Related Terms

Capital market is a medium and a platform for long term funds. It helps to generate bulk fund for government and industries. The institutions in the capital market are called Non-Banking Financial Companies. This is evident from RBI's observation which runs as: "Housing Finance Companies, Merchant Banking Companies, Stock Exchanges, Companies engaged in the business of stock-broking/sub-broking, Venture Capital Fund Companies, Nidhi Companies, Insurance Companies and Chit Fund Companies are NBFCs"[1]. All the institutions listed in this observation are capital